

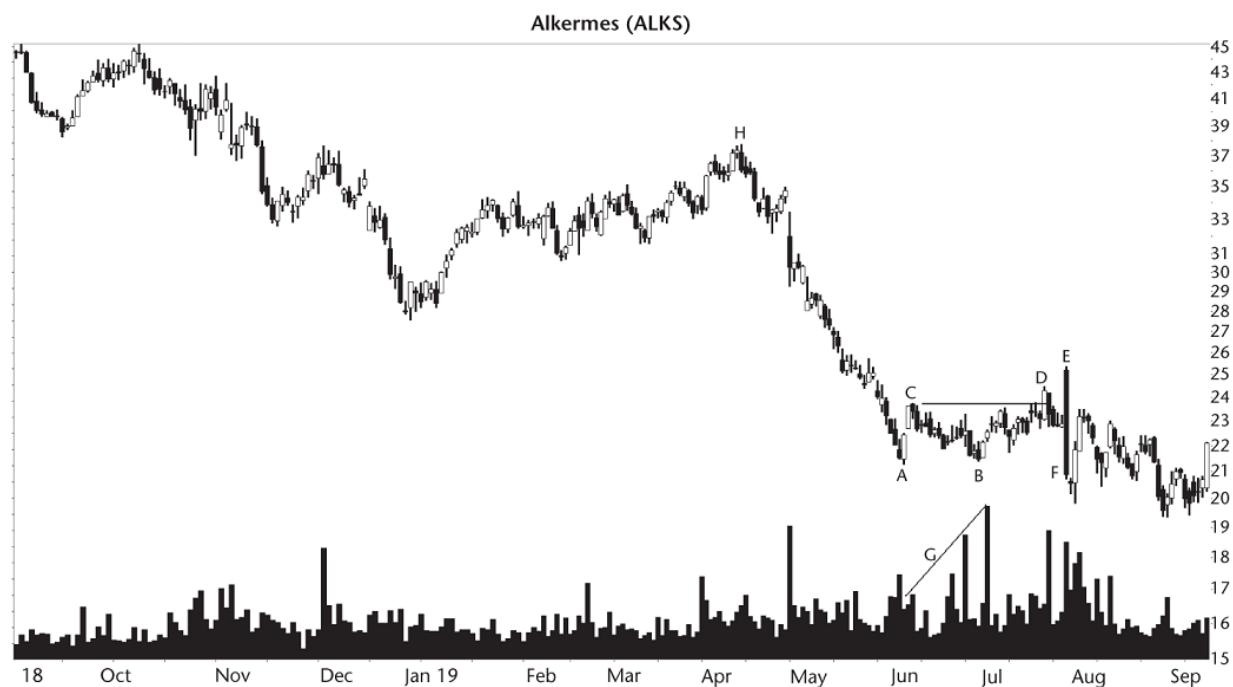


Figure 7.3 Price busts the upward breakout from this big W.

Volume (G) in this example slopes upward from A to B. [Table 7.6](#) says that volume slopes downward 69% of the time on average, and yet all three figures shown so far have upward volume.

Why did this big W fail to rise back to the launch price (H), the point where the long downtrend leading to point A began?

We can only speculate as to the answer. I checked the Internet for news at price bar EF and found that the company released second-quarter earnings before the market opened. Apparently the stockholders couldn't make up their minds about the news. Sometime during the day, price climbed up to E (perhaps on news that the company settled a patent dispute). Once price dropped below bottom B, it may have triggered stops, helping price decline to F. In this case, it appears the earnings announcement prevented the big W from fulfilling its promise of rising to H.

Statistics

[Table 7.2](#) shows general statistics for the big W pattern.

Number found. Most of the patterns I found manually over the years but automated finding them to highlight big Ws I might have missed (like the